

CREDIT CARD FRAUD DETECTION USING MACHINE LEARNING

Submitted By

Maseera Kowsar M

Technology Used

Python, Machine Learning, Random Forest Classifier

Date

June 2026

1. Introduction

Credit card fraud is one of the most significant challenges faced by financial institutions worldwide. Fraudulent transactions result in financial losses, security risks, and reduced customer trust. With the rapid growth of online payments and digital banking, detecting fraudulent activities has become increasingly important.

Machine Learning provides effective techniques for analyzing transaction patterns and identifying suspicious activities. In this project, a Credit Card Fraud Detection System is developed using a Random Forest Classifier to classify transactions as genuine or fraudulent.

The system analyzes transaction data and predicts whether a transaction is legitimate or potentially fraudulent, helping financial institutions reduce fraud-related losses and improve security.

2. Objective

The main objectives of this project are:

- To analyze credit card transaction data.
- To identify fraudulent transactions using Machine Learning.
- To train a predictive model capable of detecting fraud.

- To evaluate model performance using standard evaluation metrics.
 - To reduce financial losses caused by fraudulent transactions.
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3. Dataset Description

The dataset used in this project is the Credit Card Fraud Detection Dataset.

Dataset Information

- Total Transactions: 284,807
- Genuine Transactions: 284,315
- Fraudulent Transactions: 492
- Number of Features: 30
- Target Column: Class

Target Values

- Class = 0 → Genuine Transaction
- Class = 1 → Fraudulent Transaction

The dataset contains anonymized transaction features along with transaction amount and transaction time.

4. Tools and Technologies Used

Tool/Technology Purpose

Python	Programming Language
Pandas	Data Manipulation and Analysis
NumPy	Numerical Computation
Scikit-Learn	Machine Learning Algorithms
Matplotlib	Data Visualization
Seaborn	Statistical Data Visualization

Tool/Technology Purpose

VS Code Development Environment

Joblib Model Saving

5. Methodology

Step 1: Data Collection

The credit card transaction dataset was downloaded and loaded into Python using the Pandas library.

Step 2: Data Exploration

The dataset was explored using:

- `head()`
- `shape()`
- `info()`
- `value_counts()`

This helped understand the structure of the data.

Step 3: Data Cleaning

The dataset was checked for missing values using:

```
data.isnull().sum()
```

No missing values were found in the dataset.

Step 4: Exploratory Data Analysis

The distribution of fraudulent and genuine transactions was analyzed using Seaborn Countplot.

This visualization clearly showed that the dataset is highly imbalanced.

Step 5: Feature Selection

The target column "Class" was separated from the remaining features.

```
X = data.drop("Class", axis=1)
```

```
y = data["Class"]
```

Step 6: Data Splitting

The dataset was divided into training and testing sets using an 80:20 ratio.

```
train_test_split()
```

Training Data: 80%

Testing Data: 20%

Step 7: Model Training

A Random Forest Classifier was used for training.

```
RandomForestClassifier()
```

The model learned patterns from historical transaction data.

Step 8: Prediction

The trained model predicted whether each transaction was genuine or fraudulent.

```
y_pred = model.predict(X_test)
```

Step 9: Model Evaluation

The model was evaluated using:

- Accuracy Score
 - Confusion Matrix
 - Classification Report
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6. Implementation

The project was implemented in Python using Machine Learning libraries.

Major tasks performed:

- Loading dataset
- Data preprocessing
- Exploratory Data Analysis
- Data splitting
- Model training
- Prediction

- Performance evaluation
 - Model saving
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7. Results

The Random Forest model achieved excellent performance.

Confusion Matrix

Actual / Predicted Genuine Fraud

Genuine	56862	2
Fraud	23	75

Interpretation

- True Negatives = 56862
- False Positives = 2
- False Negatives = 23
- True Positives = 75

The model correctly classified most transactions.

Classification Report Summary

- Precision for Genuine Transactions: 1.00
- Recall for Genuine Transactions: 1.00
- Precision for Fraud Transactions: 0.97
- Recall for Fraud Transactions: 0.77

The model demonstrated strong fraud detection capability.

8. Advantages

- High accuracy in fraud detection
- Fast transaction analysis
- Reduces financial losses

- Automated fraud detection process
 - Improves customer security
 - Easy to deploy in real-world systems
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9. Limitations

- Dataset is highly imbalanced.
 - Performance depends on training data quality.
 - Fraud patterns may change over time.
 - Requires retraining for new fraud trends.
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10. Future Scope

Future improvements may include:

- Using Deep Learning models.
 - Real-time fraud detection systems.
 - Streamlit web application deployment.
 - Integration with banking systems.
 - Enhanced fraud pattern analysis.
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11. Conclusion

This project successfully developed a Credit Card Fraud Detection System using Machine Learning. A Random Forest Classifier was trained on historical transaction data and achieved excellent results in identifying fraudulent transactions.

The model demonstrated high accuracy and reliability, making it a useful solution for financial fraud detection. This project highlights the effectiveness of Machine Learning in improving financial security and reducing fraud-related losses.

12. References

1. Kaggle Credit Card Fraud Detection Dataset
2. Scikit-Learn Documentation
3. Pandas Documentation
4. NumPy Documentation
5. Matplotlib Documentation
6. Seaborn Documentation
7. Python Official Documentation